



MARKET MONITOR

No. 42 – October 2016

Contents

World supply-demand outlook	1
Crop monitor	3
Policy developments	6
International prices	8
Futures markets	10
Market indicators	11
Monthly US ethanol update	13
Fertilizer outlook	14
Explanatory notes	15

Roundup

World supply and demand balances of the four AMIS crops all point to generally comfortable prospects in 2016/17. Wheat markets are expected to be particularly well supplied, albeit with larger surpluses of feed wheat than high-quality milling wheat. The global maize market is set to benefit from record crops in nearly all leading producers apart from Brazil and South Africa. World rice production is heading for its first increase in three years, to a new record. Soybean markets are seen to benefit from a strong recovery in production this year, largely on expectation of good to exceptional yields in a number of leading producers.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▼	■
Rice	▲	■
Soybeans	▲	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production in 2016 is set to reach a new record on higher outputs in nearly all regions other than North Africa and Europe.
- Utilization in 2016/17 scaled up on higher projected food use in India and Turkey more than offsetting a slight downgrading in China.
- Trade forecast for 2016/17 (July/June) raised to the same level as 2015/16 on stronger import demand in the EU and Thailand.
- Stocks (ending in 2017) adjusted upwards for several countries but lowered for India, now projected to reach their highest level since 2002.

WHEAT

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Sep	6-Oct
734	741	742
945	966	968
716	729	730
165	164	165
226	233	234

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Sep		29-Sep
735	745	736	747
951	986	939	965
710	737	721	734
172	173	165	164
241	249	218	231

- **Maize** production forecast for 2016 lowered slightly, mostly on further downgrading of this year's production prospects in Brazil.
- Utilization in 2016/17 to increase even faster than anticipated earlier, supported by a strong growth in feed use in India.
- Trade forecast for 2016/17 (July/June) points to a smaller volume than in 2015/16 although scaled up since last month on larger imports by Mexico.
- Stocks (ending in 2017) lowered sharply, now indicating a decline from the previous season, with most of the reduction resulting from historical revisions in India.

MAIZE

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Sep	6-Oct
1006	1030	1029
1029	1249	1243
1010	1029	1032
140	135	136
213	217	209

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Sep		29-Sep
959	1028	970	1027
1167	1238	1177	1235
958	1017	968	1019
119	137	136	132
209	221	208	216

- **Rice** production in 2016 upgraded, as improved prospects in Colombia and India outweigh downward revisions for the US.
- Utilization in 2016/17 to grow by 1.2 percent, sustaining a marginal gain in per capita food use.
- Trade in calendar year 2017 little changed from September, as higher exports by India offset reductions chiefly for Thailand and Viet Nam.
- Stocks (ending in 2017) scaled up, but still expected to fall slightly below their opening levels, largely due to drawdowns in India and Thailand.

RICE

(milled)

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Sep	6-Oct
492	496	498
666	666	669
495	503	501
43.5	43.7	43.8
171	166	170

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Sep		29-Sep
472	482	471	482
586	594	587	595
473	479	474	482
41.1	40.9	41.0	40.0
113	116	113	114

- **Soybean** 2016/17 production lifted to a record high, as yields in the US projected to reach unprecedented levels.
- Utilization forecast in 2016/17 raised somewhat, now up 5 percent from 2015/16.
- Trade forecast for 2016/17 up slightly from last month, but still pointing to a below-average y/y growth.
- Stocks (2016/17 carry-out) revised upwards on higher forecasts for the US, but still 9 percent down from the 2015/16 level.

SOYBEANS

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	8-Sep	6-Oct
314	326	330
358	368	371
318	332	334
134	136	137
41	36	38

in million tonnes			
USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Sep		29-Sep
313	330	315	329
391	403	352	360
316	329	321	331
133	138	133	137
73	72	31	29



FAO-AMIS monthly forecast

For latest revisions to FAO-AMIS monthly forecasts for 2016/17 see next page.

To review and compare data, by country and commodity, across the three main sources, go to:

<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2016/17

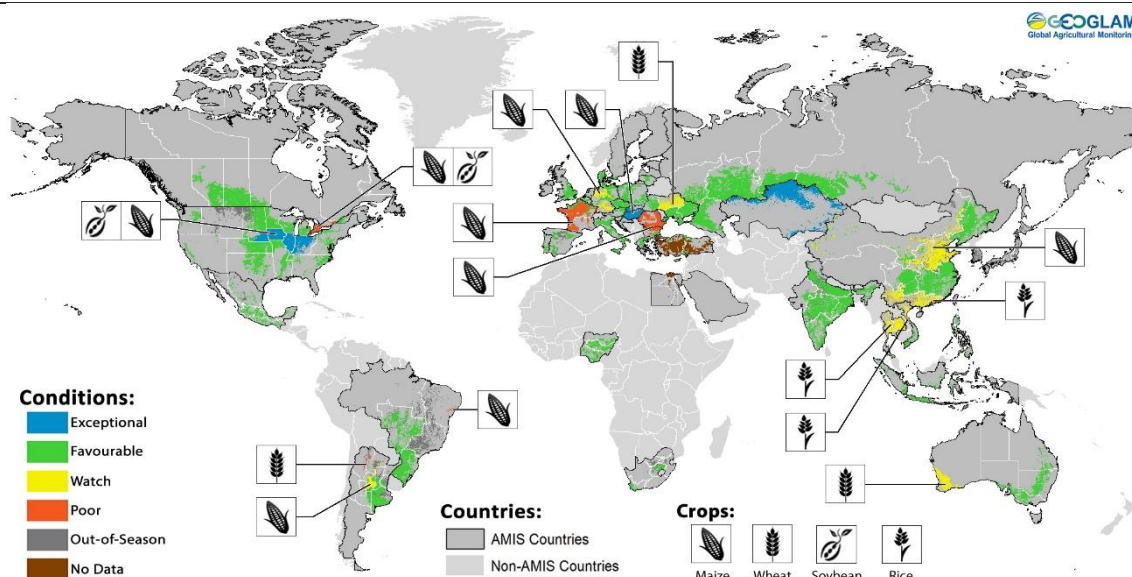
in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	1635	1475	1750	1450	902	-978	499	3243	550	-7831
Total AMIS	2031	1500	2502	1200	-371	-1458	400	3235	600	-8332
Argentina	1000	-	150	500	-650	-	-	-	500	-
Australia	1079	-	-	1000	79	-	-	-	-	-
Brazil	-48	-	2	-100	50	-2520	-	-520	-2000	-
Canada	-	-	-	-	500	-	-	600	-	-500
China Mainland	-	-	-1000	-	1000	-	-	-	-	-543
Egypt	-	-	-	-	200	-	-	-	-	-
EU	-	500	200	-	300	-	-	-	-	-
India	-	-	2300	-200	-2000	2500	-	3800	100	-7150
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	400	-100	-	500
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	100	-	90	-	10
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	1000	800	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	-	-	-	-	-
US	-	-	-	-	-	-1538	-	-635	2000	-649
Viet Nam	-	-	50	-	150	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	1853	119	-1219	104	3828	3897	850	2214	800	1914
Total AMIS	1570	-90	-1406	590	3165	3537	1050	1624	590	1859
Argentina	-	-	-	-100	-	-1000	700	200	-600	100
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	40	-	-	-100	40	1000	-	1015	200	-
Canada	-	-	-	-	-	-	-	-60	100	-40
China Mainland	-	300	-900	-	250	200	450	300	-	1000
Egypt	-	-	10	-50	-	-	-	-20	-	-
EU	18	-	3	-	-	-196	-	-196	-	-
India	1667	-	-333	1700	2500	-200	-	-200	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	32	-30	-	-	-100	-80	-	-10
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	60	-200	-90	-	100	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	13	-	-17	-30	55	-	-	50	-	-50
Saudi Arabia	-	-20	-20	-	-100	-	-	-	-	-
South Africa	-	-50	-55	-	-25	-	-50	-	-	-
Thailand	-	-90	-82	-500	200	-	-	-	-	-
Turkey	-	20	5	-	5	-	50	300	-	-100
Ukraine	-	-	-	-	-	-100	-	20	-110	-10
US	-228	-	-159	-	140	3833	-	295	1000	969
Viet Nam	-	-50	200	-300	-	-	-	-	-	-

Crop monitor

Crop conditions in AMIS countries (as of 28 September)



Crop condition map synthesizing information for all four AMIS crops as of 28 September. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

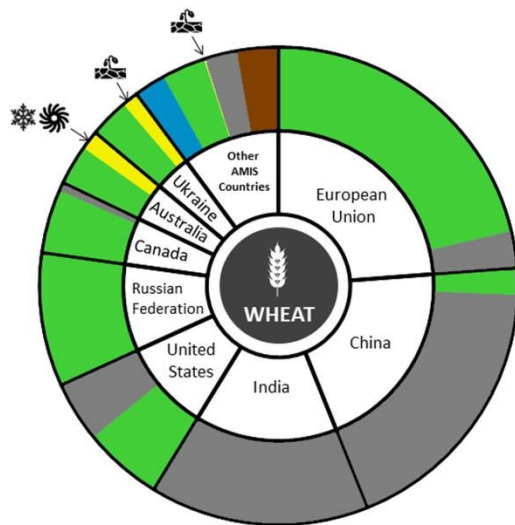
Conditions at a glance

Wheat - In the northern hemisphere, overall wheat prospects remain good for the spring wheat season that is drawing to a close, with near-record yields reported in Kazakhstan. Winter wheat planting began under favourable conditions. In the southern hemisphere, conditions are generally favourable, with the exception of Western Australia, which experienced frost events that will likely constrain yields.

Maize - In the northern hemisphere, conditions are mixed. In the US, an above-average crop is expected; however, significant growing areas in the EU and Canada experienced adverse conditions reducing yield expectations. In the southern hemisphere, planting is underway under generally favourable conditions in Brazil and Argentina.

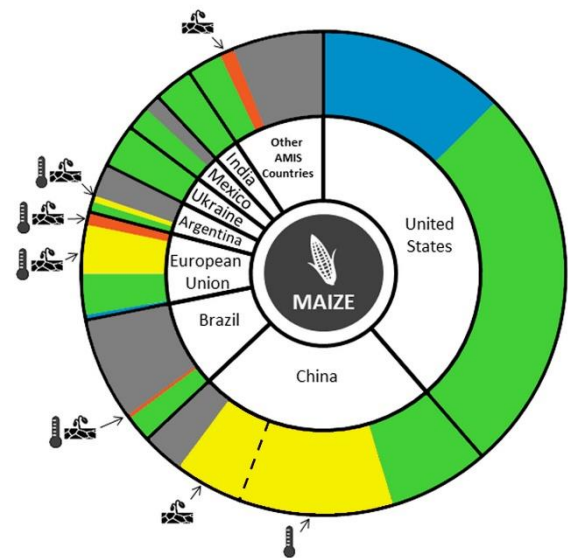
Rice - Rice conditions for Southeast Asia have generally improved and are favourable, most notably in India, Indonesia, and the Philippines. However, there is some concern over heavy rainfall in northern Viet Nam and over flash flooding and delayed start of the season in Thailand. Conditions remain mixed for China.

Soybeans - In the northern hemisphere, conditions remain generally favourable, with a very good crop expected in the US. However, in Canada, dry conditions in Ontario have lowered expected yields. In the southern hemisphere, planting began in Brazil.



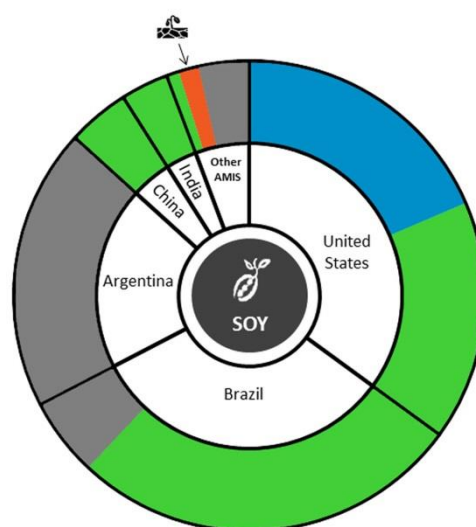
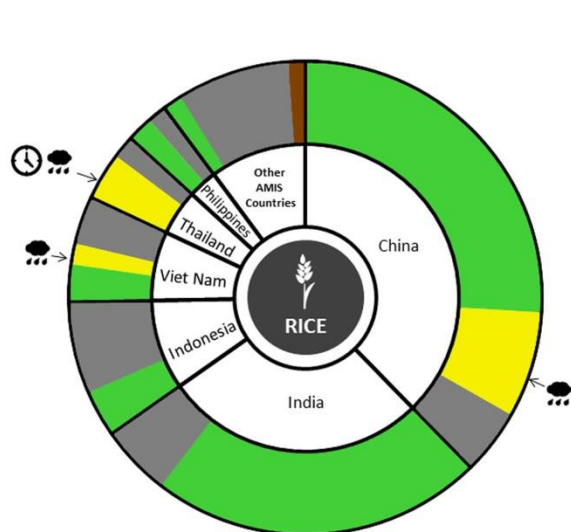
Wheat

In the **EU**, winter wheat sowings have just begun under variable conditions. In the **US**, spring wheat harvest is complete and production was favourable. Winter wheat planting began under favourable conditions. In **China**, winter wheat planting has begun in the north. In the **Russian Federation**, spring wheat harvest is nearing completion under good conditions and winter wheat sowing is almost complete under favourable conditions. In **Canada**, spring wheat conditions remain favourable although continuing wetness in the west is delaying harvest operations and potentially affecting crop quality. In **Ukraine**, sowing of winter wheat began under generally favourable conditions. Dry soil moisture in the northern and central regions delayed planting, risking full establishment before winter. In **Kazakhstan**, harvest is just about complete with near-record yields reported. In **Australia**, conditions are favourable with average to above average winter rainfall across eastern Australia, with localized waterlogging in low-lying areas. Rainfall in Western Australia has been average, however significant frost events during August and September are likely to constrain yield prospects. In **Argentina**, conditions are favourable in the main producing regions. Dry soil moisture conditions persist in the northern and northwest regions, affecting the grain filling and could impact yield potential.



Maize

In the **US**, conditions heading into harvest are favourable throughout the country and are exceptional in the central Corn Belt states of Illinois and Iowa. Yields and total production could both be records for the county. In **China**, overall conditions are less favorable than last year this time, due to dryness in the north and high temperatures in the Loess and Huanghuaihai regions. In the **EU**, conditions are mixed due to hot and dry conditions, which affected crop-available water and shortened the grain filling stage in several countries, resulting in reduced yield expectations. In **Ukraine**, harvest began under favourable conditions and a good crop is expected. In **India**, conditions are generally favourable owing to ample rains, only minor pockets of dryness are reported. In **Mexico**, planting of the spring-summer crop is complete under favourable conditions. Expectations are for a larger harvest than last year as long as favourable weather conditions continue. In **Canada**, dry conditions in the largest producing province of Ontario resulted in below to well below-average yields. In the **Russian Federation**, harvest is ongoing under favourable conditions with yields about the same as last year. In **Nigeria**, conditions continue to be favourable. Subsiding rainfall in September decreased the risk from flooding. In **Brazil**, planting of the spring crop is underway in the south under favourable conditions. The summer planted crop harvest is almost complete except for in the northeast region. In **Argentina**, planting of early maize is underway under generally favourable conditions. Dry soil moisture conditions in Cordoba and San Luis is delaying planting.

Conditions:**Drivers:****Rice**

In **China**, conditions are mixed with favourable conditions in the northeast and below-average conditions in southern China, due to heavy rainfall and insufficient radiation. In **India**, conditions for the kharif crop are generally favourable owing to the good monsoon rains. Localized excess rainfall resulted in some losses. In **Indonesia**, conditions are favourable for the dry season crop. Unseasonable precipitation has helped to increase total planted area, and yields are expected to be higher than the last two years. In **Viet Nam**, harvest of the summer-autumn crop begun in the south under favourable conditions. In the north, the seeding of autumn-winter rice is complete, but is adversely affected by heavy rainfall. In **Thailand**, the wet season crop received sufficient rainfall, however conditions are mixed due to the delayed start of the season and flash flooding in the north and northeast regions. In the **Philippines**, wet season rice planted in May-June is fully harvested, while wet season rice planted in July-August is under favourable condition. In the **US**, most of the rice crop is in favourable condition and harvest is progressing rapidly.

Soybeans

In the **US**, harvest is just getting underway with very good conditions across the country and in many areas production will likely be well above previous records, notably in Illinois, Indiana, Iowa, and Nebraska. In **Brazil**, planting began in the main producing regions in the south and central-west, only where conditions are favourable. In **China**, conditions are favourable and the crop is in the seed-filling stage. In **India**, the crop is in the vegetative stage with generally favourable conditions owing to good monsoon rains. In **Canada**, harvest has begun. Dry conditions during the growing season in the largest producing province of Ontario, has resulted in below to well below-average yields. In **Ukraine**, harvest began with favourable conditions and a good crop is expected.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 6 October 2016

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRR), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- In **Egypt**, following the decision to apply the zero tolerance policy (Decree No. 1117/2016) on ergot fungus in wheat, which was reported in last month's edition of the *Market Monitor*, the Government has reinstated a policy of an internationally accepted standard of 0.05 percent ergot fungus.
- In September, **Japan** resumed imports of US white wheat, which had been blocked since July following the discovery of unapproved genetically modified wheat in a US shipment.
- The Government of **India** lowered the wheat import tax set in October 2015, from 25 percent to 10 percent in order to ease availability of wheat to millers across the country, effective until 29 February 2017.
- **Indonesia** stopped issuing feed wheat import certificates for 2016/17 to stimulate higher usage of domestic maize for feeding and discourage imports of competitively priced feed wheat.

Maize

- The **European Commission** authorized the use, for food or feed, of 11 varieties of genetically modified (GM) maize produced by Syngenta Crop Protection. The authorization does not cover cultivation and is valid for 10 years. Any products with the GM maize strains are subject to labelling and traceability rules.
- The Government of **Brazil** auctioned on 15 September 50,000 tonnes of maize from its state reserves. The measure aims to boost market supplies and diminish prices of maize as well as poultry and pork products.

Rice

- The Secretariat of Agriculture, Livestock, Rural Development, Fisheries and Foodstuffs (SAGARPA) in **Mexico** put in place a new support scheme for rice farmers on 8 September that has already been announced in July. SAGARPA grants support payments of 3,000 pesos (USD 156.50) per hectare for irrigated plots and 1,500 pesos (USD 78.25) per hectare for non-irrigated land. The programme is set to continue for the next three years and is expected to encourage domestic rice production.

- In an effort to comply with its mandate of maintaining an adequate level of rice stocks in **the Philippines**, the National Food Authority (NFA) awarded a contract for the supply of 250,000 tonnes of imported rice to Thailand and Viet Nam under a Government-to Government procurement scheme. The supplies were purchased at a price of USD 424.85 per tonne, which is USD 0.15 lower than the reference price set by the NFA for the tender. Furthermore, the NFA is set to permit private imports of up to 805,200 tonnes of rice with a quality not lower than 25 percent broken and/or specialty rice, including up to 293,100 tonnes each from Thailand and Viet Nam, as well as imports from China, India, Pakistan, Australia and El Salvador. Shipments are to be sent by 28 February 2017 and are subject to a 35 percent import tariff. The measures were followed by an announcement that the government is considering to forego the extension of quantitative restrictions on rice, which are due to expire in July 2017.

- The restrictions on the admission of certain products, including rice, for the purpose of state and municipal procurement, announced in August by the Ministry of Agriculture in the **Russian Federation**, entered into force on 3 September. The only countries exempt from the restrictions are the members of the Eurasian Economic Union. The restrictions will mainly affect state-owned and state-financed institutions and not retail trade; however, it can potentially strain trade ties with foreign exporters.

- The **Viet Nam** Food Association set the minimum export price for 25 percent broken rice at USD 340 per tonne, FOB basis.

Soybeans

- As a measure of curbing maize supply, the main grain exporter province in **China** – Heilongjiang – is offering farmers subsidies of 150 yuan (USD 22.46) per mu (0.067 hectares) to rotate maize with soybeans. The policy is expected to significantly increase soybean acreage, as well as reinforce the efforts to manage the oversupply of maize in the country.
- With the goal of increasing domestic production and reducing import dependency, the Minister of Agriculture of **Indonesia** announced on 8 September a plan to provide soybean seed aid to farmers of 300-400 thousand hectares of land. The assistance package



AMIS Policy database

Visit the **AMIS Policy database** at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

is a result of the cooperation of the Ministry of Agriculture and the Bogor Agricultural University.

- As reported by the USDA, the Supreme Court (SC) of the **Philippines** issued its final ruling which reversed its 8 December 2015 decision that had stopped the field testing, propagation, commercialization and importation of genetically enhanced products in the country.

Across the board

- As a means of reducing trade costs, the General Administration of Ports office in **Argentina** issued Resolution 076 to abolish the mandatory use of the Transporte Argentino Protegido (TAP) certificate for products exported from the port of Buenos Aires, which accounts for a major part of Argentinian exports.
- In an effort to strengthen the bilateral trade ties between **Argentina** and the **Netherlands**, on 6 September the two countries signed a Memorandum of Understanding for Cooperation on Agriculture, Livestock and the Agro-industrial Sector.
- **China** has notified the WTO about the new Maximum Residue Limits standards for pesticides, which would affect wheat, rice, maize and soybeans. The extensive list of 160 pesticides and their allowed quantities in grains, among other food products, was published by the USDA. The deadline for comment submissions is 4 October.
- Aiming for a further modernization of the agricultural system in **China**, the Agricultural Development Bank of China approved a loan of USD 450 billion to the Ministry of Agriculture. The declared goals are protecting national food security, fostering international trade and developing the seed industry.
- Building on previous measures that have already been implemented in the past year, the **European Commission** published new regulations that aim to facilitate the implementation of Common Agricultural Policy. The measures introduced include changes in the Rural Development Regulation and the provision of a sector-specific income stabilization tool aimed at farmers in need of support in times of a market crises. The Commission also announced facilitated access to loans and other financial instruments. Within the framework of the Direct Payment Regulation, the Member States will be granted greater discretion in the application of the term "active farmer" which is expected to greatly facilitate the administrative procedures.
- The Food Safety and Standards Authority of **India** (FSSAI) published final amendments on standards and

labeling for irradiated foods, which were published in November 2015. Among other products, cereals will be affected by the regulations on the levels of radiation in certain food products. The maximum threshold of radiation of insect disinfection and reduction of microbial load for cereals is 1 kilo Grey and 5 kilo Grey respectively.

- The **US** announced on 13 September that it would challenge China at the WTO regarding the country's market price support for wheat, maize and rice in 2015. Alleging excessive agricultural subsidies, the US filed a formal complaint at the WTO against China.
- In an effort to strengthen their economic ties, the **Eurasian Economic Union**, consisting of Armenia, Belarus, the Kyrgyz Republic and the Russian Federation has signed a Free Trade Agreement with Viet Nam. The agreement will enter into force on 5 October, and its main provisions relate to the lowering of tariffs for the majority of goods traded between the two parties and eliminating the customs duties for all products by 2027.
- **Indonesia** set the reference prices for a number of basic food items, including rice, maize and soybeans through a Ministerial Regulation. For each food item, two reference prices are set: a floor (minimum) price intended to protect farmers against sharp drops in market prices and a ceiling (maximum) price to protect consumers against exceptionally high prices. The reference prices are valid for four months. The floor price for rice was set at IDR 7,300 (USD 0.55) per kg while the ceiling price at IDR 9,500 (USD 0.72) per kg. The measure aims to prevent excessive volatility and keep prices of basic commodities stable.
- **Kazakhstan** announced new procurement prices for 2016 grains: 3rd grade wheat will be procured at a price ranging from KZT 41,000 (USD 120) to KZT 50,000 (USD 146) per tonne, comparing to KZT 41,000 (USD 120) per tonne in 2015; 4th grade wheat will range from KZT 34,000 to KZT 36,000 (USD 99-105) per tonne, against KZT 31,000 (USD 91) per tonne in 2015; while the price for 2nd grade barley remained unchanged from last year at KZT 25,000 (USD 73). All prices are inclusive of VAT.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Sep 2016 Average*	% Change	
		M/M	Y/Y
GOI	193	- 3.1%	+ 3.4%
Wheat	157	- 1.5%	- 7.8%
Maize	181	- 5.7%	+ 3.2%
Rice	150	- 5.4%	+ 0.2%
Soybeans	204	- 3.1%	+ 11.5%

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export prices continued to have a generally weak tone during September, pressured by record global supplies. The IGC GOI wheat sub-Index (which comprises a mixture of low/medium and higher protein milling wheats) was about 2 percent lower on average over the month, staying close to 10-year lows. However, with uncertainty about quality problems in harvests spreading to more areas, including Canada and Australia, market sentiment was somewhat more bullish for higher grade milling wheats. Egypt's decision to impose zero tolerance for ergot resulted in a number shipments of EU and Black Sea wheat being held at ports of origin, while traders were also reluctant to participate in fresh tenders. Following the re-instatement of 0.05 percent ergot tolerance on 21 September, Egypt's GASC secured 240,000 tonnes of milling wheat from Russia at around USD 179 FOB, about USD 10 above spot values at the time.

Maize

Global maize export prices were lower across all leading origins during September, pressured by a generally ample supply outlook. However, the comparatively steep 6 percent m/m drop in the IGC GOI sub-Index partly reflected technical factors, including the switch of Black Sea quotations to cheaper, new crop supplies. Quoted at around USD 162 FOB (October), Black Sea values were seasonally weak amid increased spot availabilities. The US market was also softer, as traders focused on an expected record crop and the need to maintain the recent healthy pace of export sales. Activity in South America was quieter, but with prices in Argentina down in an effort to stimulate demand. Quotations in Brazil weakened slightly too, but with trading more limited than normal

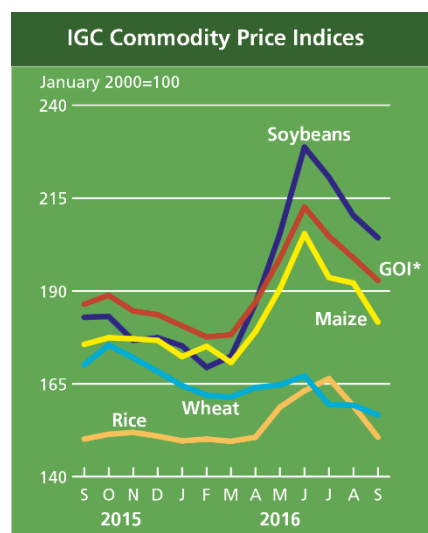
due to tight spot supplies. At the end of the month there were reports that China is to release some stocks for export.

Rice

Reflecting weaker sentiment across Asian markets for white and parboiled rice, the IGC GOI rice sub-Index eased by around 5 percent during September, to a five-month low. Quotations were weighed by prospects for improved global supplies and underlying sluggish export interest from key buyers. However, declines in Thailand and Viet Nam were capped by talk that the Philippines could import additional quantities before the end of the year. In India, too, white rice export values were as much as 7 percent lower m/m as seeding of the summer-sown (kharif) crop approached completion. Outside of Asia, US Gulf milled rice export prices retreated on seasonal harvest pressure.

Soybeans

Highlighting the underlying bearish tone in global markets, the IGC GOI soybeans sub-Index fell by about 3 percent, representing the third consecutively monthly decline. Against the backdrop of beneficial Midwest conditions, export values were weighed by prospects for a bumper US crop, with a number of key reports and private surveys confirming excellent yield potential. The start of harvesting added to pressure around mid-September, but losses were capped by firm international demand, with cumulative 2016/17 (Sep/Aug) US export commitments already totalling in excess of 24 million tonnes as at 15 September, an increase of 35 percent y/y. In South America, FOB quotations in Brazil were also weaker, but with declines limited by tight old crop supplies and worries about conditions for new crop planting.

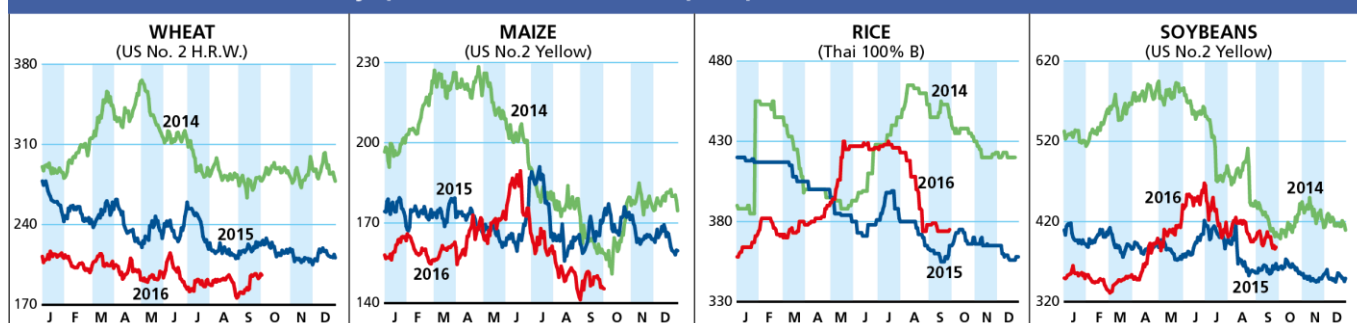


*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2015	September	186.4	170.1	175.6	150.1	182.9
	October	188.8	175.4	177.4	151.4	183.1
	November	184.6	172.0	177.1	151.9	176.7
	December	183.6	168.3	176.7	150.9	177.4
2016	January	180.6	164.5	172.3	149.6	175.2
	February	177.6	161.9	175.1	150.1	169.4
	March	178.2	161.4	170.7	149.5	172.4
	April	187.0	164.0	179.0	150.6	186.7
	May	198.8	164.7	190.6	158.7	205.5
	June	212.6	167.1	205.4	163.1	228.7
	July	204.7	159.4	193.6	166.4	220.6
	August	198.9	159.2	192.1	159.0	210.3
	September	192.8	156.6	181.6	150.6	204.3

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)

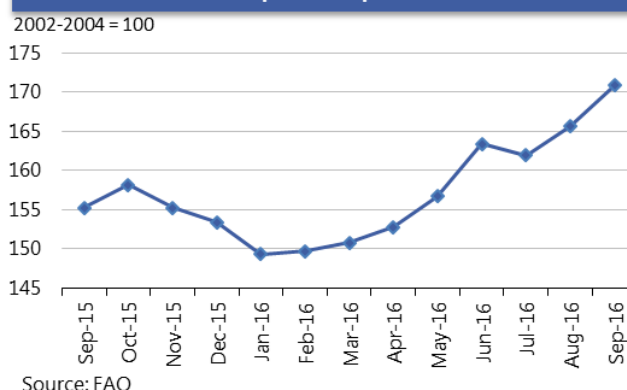
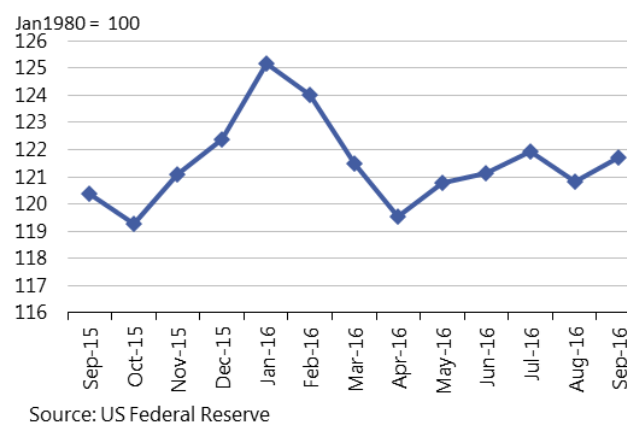


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	29-Sep	196	197	178	222	-0.5%	-11.8%
Maize (US No. 2, Yellow)	29-Sep	145	149	144	171	-2.5%	-14.9%
Rice (Thai 100% B)	29-Sep	375	374	374	358	0.3%	4.7%
Soybeans (US No.2, Yellow)	29-Sep	388	401	399	364	-3.2%	6.6%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	September 2016 Average	Monthly Change	Annual Change
Argentina	ARS	15.10	-1.87%	-60.27%
Australia	AUD	1.32	-0.40%	4.29%
Brazil	BRL	3.25	-1.33%	8.64%
Canada	CAD	1.31	-0.71%	1.09%
China	CNY	6.67	-0.36%	-4.87%
Egypt	EGP	8.88	0.00%	-13.39%
EU	EUR	0.89	0.04%	0.56%
India	INR	66.70	0.32%	-2.78%
Indonesia	IDR	13,106.73	0.39%	4.55%
Japan	JPY	101.81	-0.51%	17.68%
Kazakhstan	KZT	338.07	1.67%	-65.36%
Rep. Korea	KRW	1,107.88	0.21%	5.71%
Mexico	MXN	19.20	-3.81%	-11.66%
Nigeria	NGN	314.88	0.61%	-59.27%
Philippines	PHP	47.56	-2.06%	-0.77%
Russian Fed.	RUB	64.34	0.90%	1.04%
Saudi Arabia	SAR	3.75	-0.01%	0.02%
South Africa	ZAR	14.02	-1.69%	-6.78%
Thailand	THB	34.72	0.00%	1.95%
Turkey	TRY	2.97	-0.23%	-3.64%
UK	GBP	0.76	0.33%	-18.90%
Ukraine	UAH	26.20	-4.26%	-16.24%
Viet Nam	VND	22,276.86	-0.04%	-0.50%

FAO Food Price Index
Sep 2015 - Sep 2016Nominal Broad Dollar Index
Sep 2015 - Sep 2016

Futures markets

Futures Prices – nearby

	Sep-16 Average	% Change	
		M/M	Y/Y
Wheat	142	-5.4%	-20.8%
Maize	129	+1.2%	-12.5%
Rice	210	-2.4%	-24.5%
Soybeans	359	-3.1%	+10.9%

Source: CME

Futures prices

Prices for wheat, maize, soybeans and rice were mixed during September. On average, wheat fell 5.4 percent and rice 2.4 percent, while maize rose 1.2 percent m/m. All three commodities traded substantially lower y/y with prices declining 21 and 25 percent for wheat and rice and a lesser 13 percent for maize. Conversely, soybean values, which were higher 11 percent y/y, declined to average 3 percent lower m/m, as soybean yields - already projected record by USDA - reportedly beat expectations. In general, commodity markets were unremarkable as crude oil prices and the USD index traded within a narrow price range.

Volumes and volatility

Wheat and maize experienced steep declines in volumes, of 52 and 32 percent respectively m/m, while soybeans saw a modest contraction of 5 percent m/m, as uncertainties over US crop prospects faded. Historical volatility declined for maize and soybeans while rising somewhat for wheat. Implied volatility fell for all three commodities, both m/m and y/y.

Basis levels and transport

Domestic basis levels for maize continued to be quoted at steep discounts to futures prices in anticipation of burdensome harvest supplies while soybean basis levels fell sharply. In the key states of Illinois and Iowa, interior bids to local elevators were USD 10 and USD 17 below the December futures respectively for maize and USD 6 and USD 22 below the November futures for soybeans. Gulf export maize values were quoted slightly weaker m/m at USD 16 – 18 per tonne over December futures while soybean basis levels were quoted at USD 28 per tonne over November futures, a USD 10 per tonne decline m/m. The wheat basis remained at discounts to futures in the domestic markets and weak at export points, unsurprising given the USDA projection (in September) of a 49 percent ending stock-to-use ratio for 2016/17. For all three commodities US exports are projected to increase and are confirmed by current 2016/17 unshipped sales, registering a 46 percent increase y/y. Paradoxically, barge freight declined between 20 and 40 percent y/y and stayed well below the 3 year average even as barge shipments within the Mississippi River system (includes the Illinois, Ohio and Missouri rivers) surged 30 percent year-to-date over 2015.

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Sep-16	Aug-16	Sep-15
Wheat (Nearby)	28.6	25.7	27.4
Maize (May)	21.9	27.5	28.4
Rice (Nearby)	35.8	32.9	23.1
Soybeans (Nearby)	21.0	31.6	31.8

Forward curves

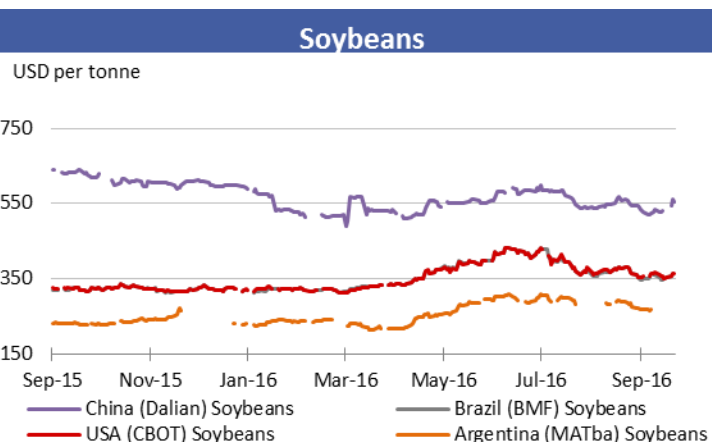
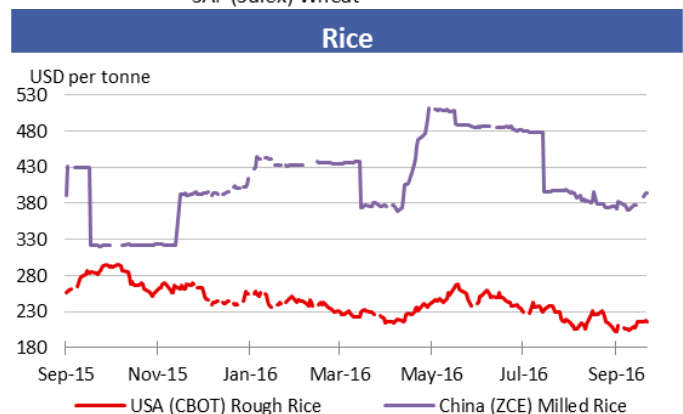
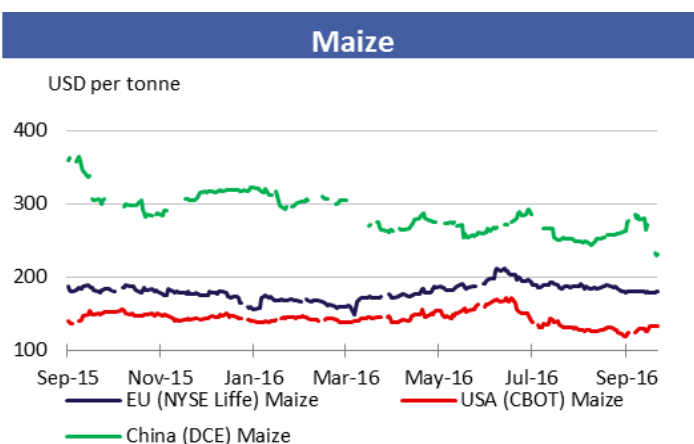
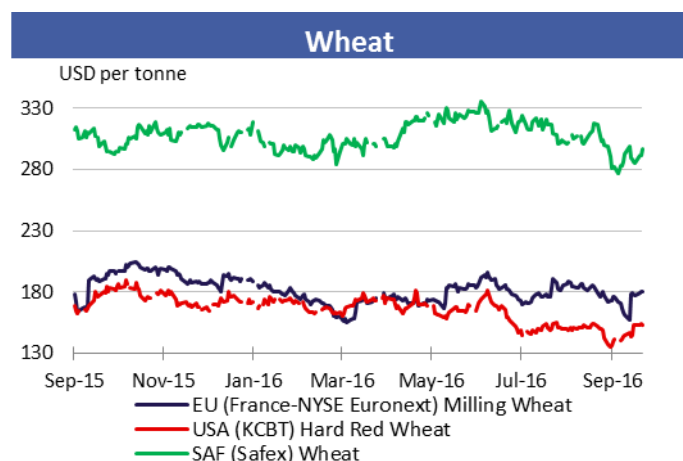
Forward curves for wheat and maize were virtually unchanged m/m, maintaining their wide upward sloping configuration (contango), reflecting ample supplies, while soybean curves relaxed. The November 2016/November 2017 soybean spread, which exhibited USD 10 inversion last month, flattened to reflect the same approximate price for both contracts. Early harvest reports of larger than anticipated yields were cited in the change of soybean forward curves.

Investment flows

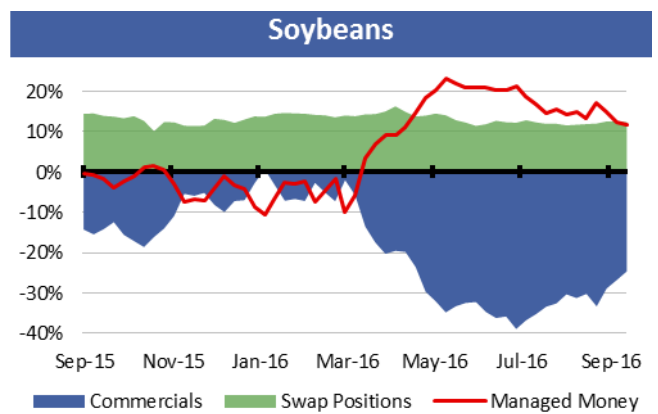
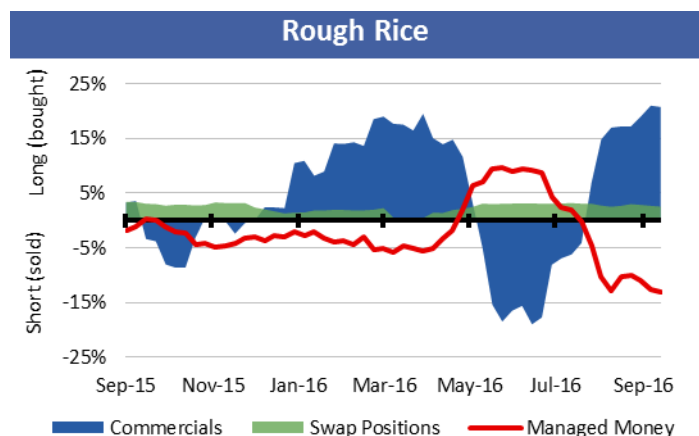
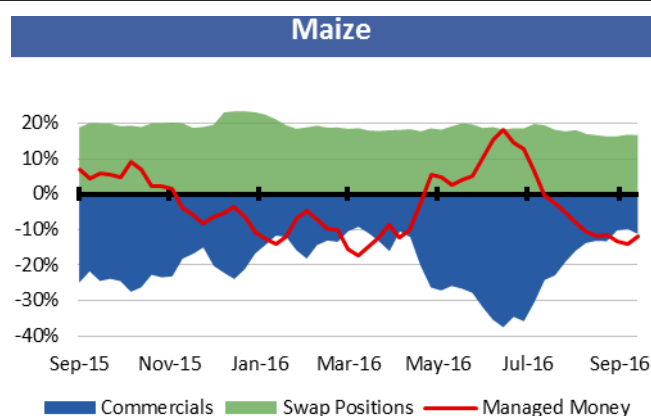
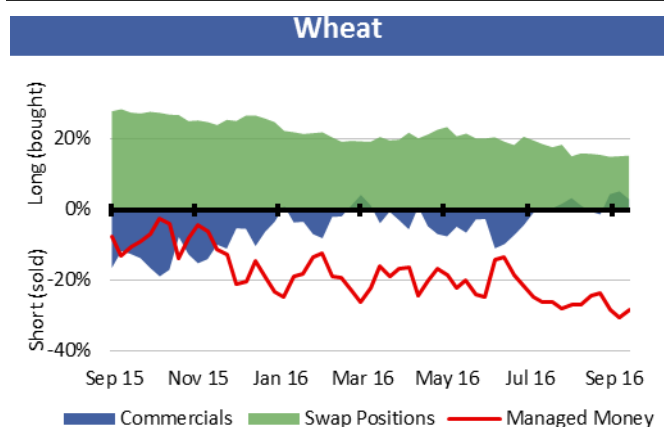
Managed money maintained its net short positions in wheat and maize and its net long position in soybeans, exhibiting very little re-positioning m/m. The stay-the-course strategy was reconfirmed by the low transaction volume figures during the month. In a move potentially affecting commercial and speculative trading, the US Federal Reserve issued a rulemaking proposal for banks dealing in physical commodities requiring them to hold more capital in reserves with regard to energy and commodity investments, particularly infrastructure. As banks have scaled back their commodities market activity in both the physical and exchange-traded futures markets and most of the proposal focused on energy markets, it would likely have little impact on grain and oilseed markets activity if adopted.

Market indicators

Daily quotations from leading exchanges - nearby futures

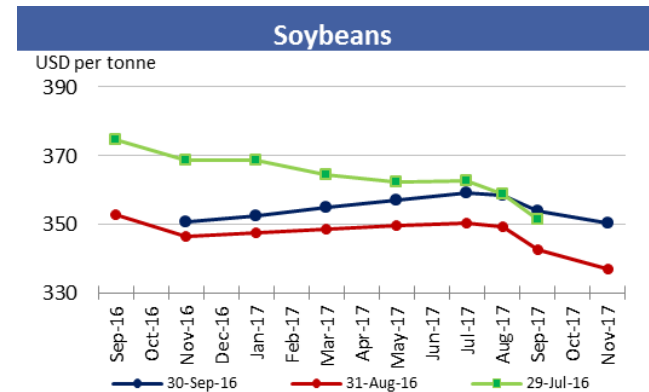
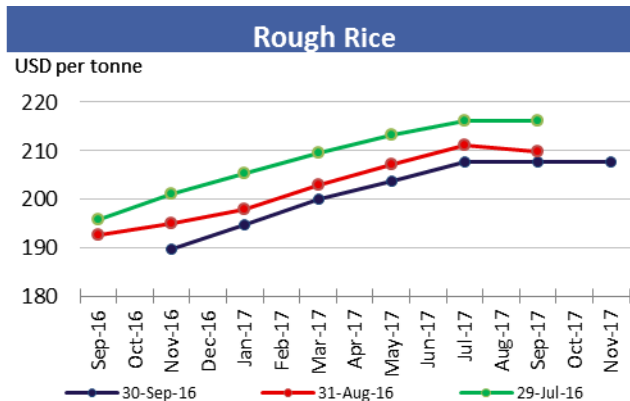
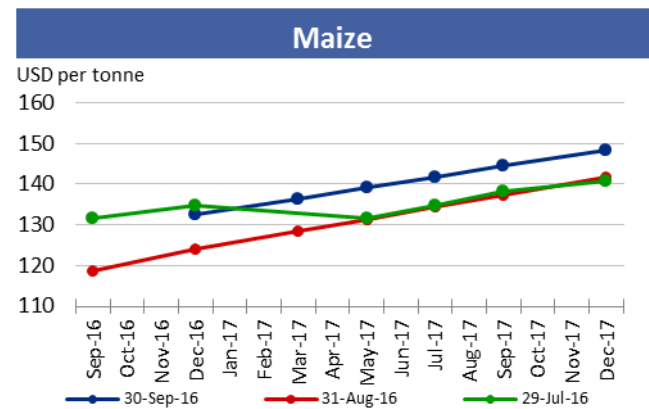
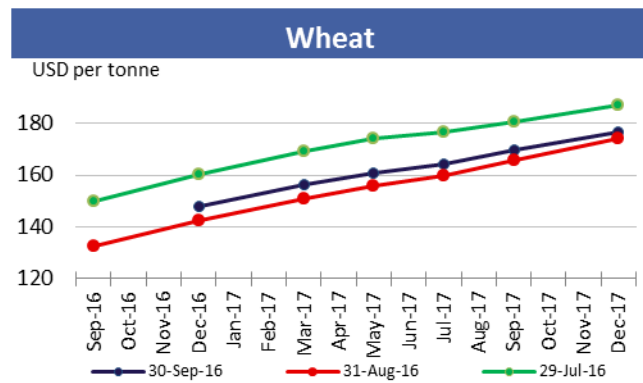


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

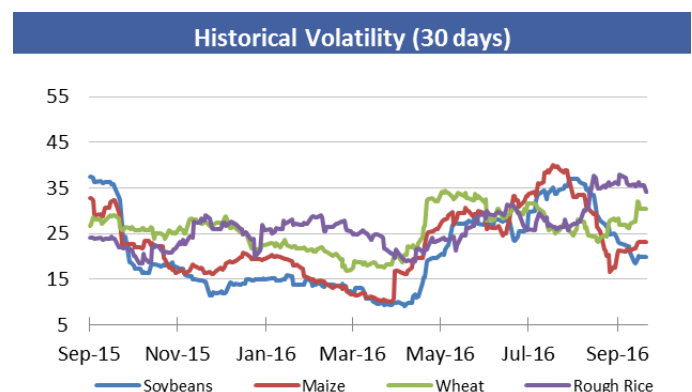
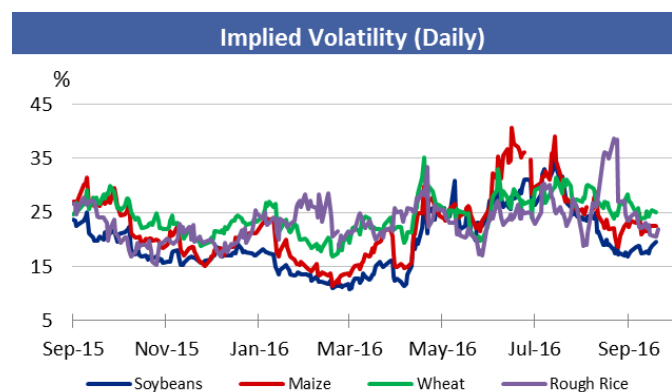


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

- Ethanol **production** declined in September after preliminary data suggested record output for the prior month. Production for the month is running well above year ago levels.
- Ethanol production **margins** strengthened over last month and were significantly better than year ago levels. Ethanol margins improved as ethanol prices improved and maize prices moved lower early in the month.
- Ethanol **prices** remained at a premium to RBOB gasoline prices in the futures market. Historically ethanol has run at a discount to gasoline, but for much of the last year ethanol has held a premium to gasoline on a volume basis and a significant premium based on its energy content.
- EPA** (US Environmental Protection Agency) is expected to release its final RFS (Renewable Fuel Standard) rules for 2017 by November.

Spot prices IA, NE and IL/eastern corn belt average	Sep 2016*	Aug 2016	Sep 2015
---	--------------	-------------	-------------

Maize price (USD per tonne)	120.57	122.88	142.32
DDGs (USD per tonne)	119.80	124.31	136.26
Ethanol price (USD per gallon)	1.44	1.37	1.44

Nearby futures prices

CME, NYSE			
Ethanol (USD per gallon)	1.48	1.43	1.49
RBOB Gasoline (USD per gallon)	1.4	1.4	1.4
Ethanol/RBOB price ratio	107.4%	101.8%	106.8%

Ethanol margins

IA, NE and IL/eastern corn belt average, USD per gallon)			
Ethanol receipts	1.44	1.37	1.44
DDGs receipts	0.37	0.38	0.42
Maize costs	1.11	1.14	1.31
Other costs	0.55	0.55	0.55
Production margin	0.14	0.07	-0.01

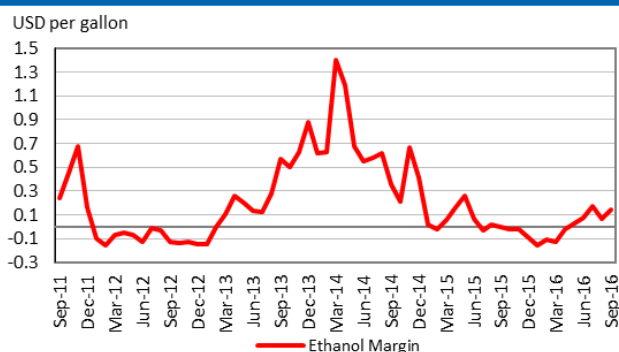
Ethanol production (million gallons)

Monthly production total	1263	1341	1199
Annualized production pace	15369	15794	14585

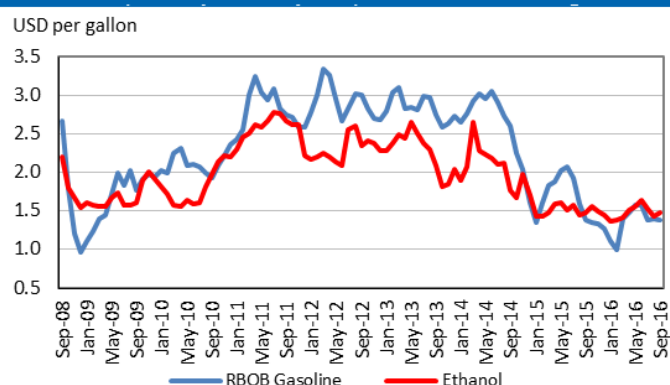
Based on USDA data and private sources

* Estimated using available weekly data to date.

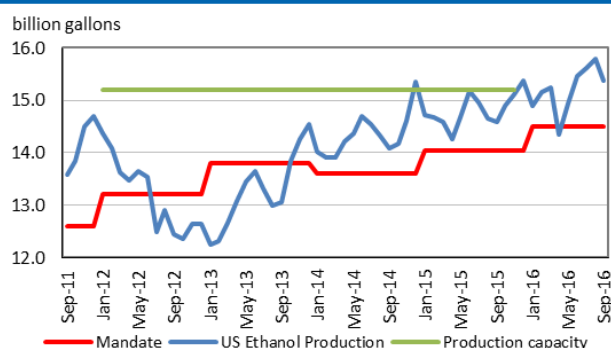
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

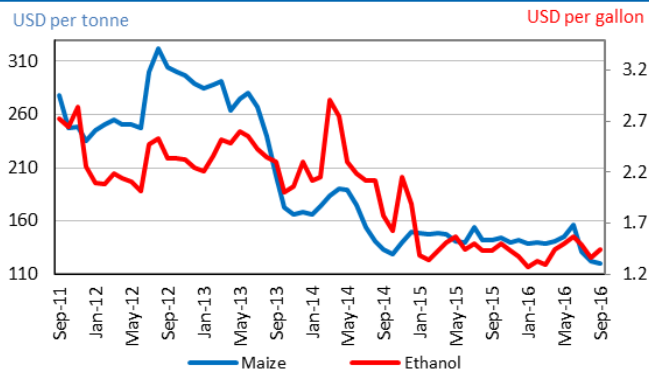


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

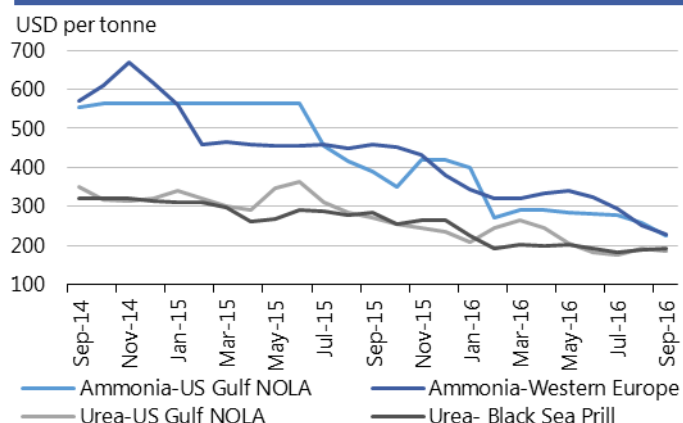
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

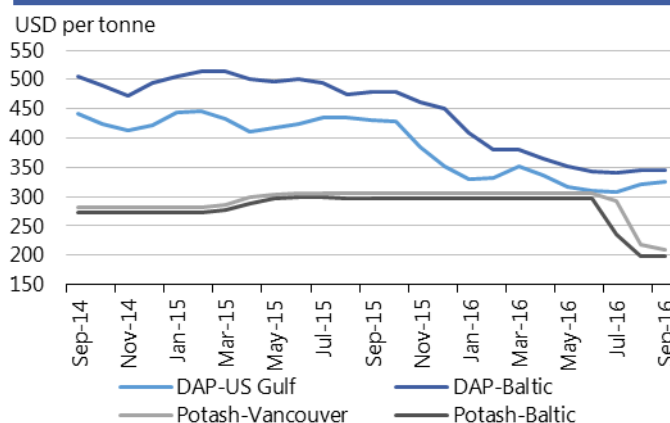
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

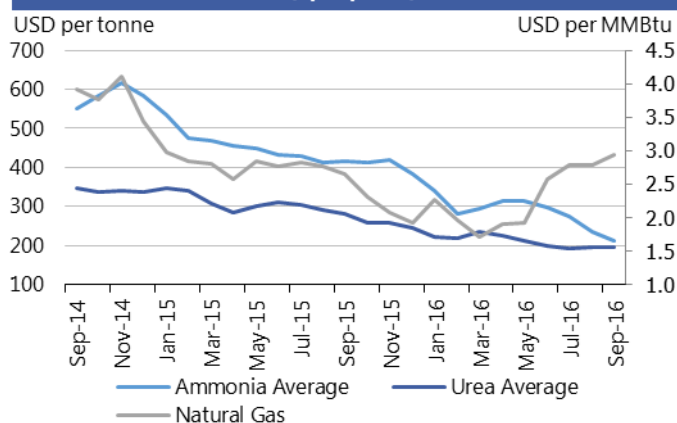
**Ammonia and Urea
(Spot prices)**



**Potash and Phosphate
(Spot prices)**



**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



Charts Sources: Bloomberg

- The average price of **Ammonia** continued its downward trend. Commodity market slowdown, lower fertilizer use, and increased capacity triggered the decline.
- Despite the increase in India's imports, which drove Chinese exporters to sell inventories, **urea** m/m prices remained unchanged. Low crop prices and a strong US dollar are limiting the demand.
- **DAP** m/m prices also remained unchanged both in the US Gulf and in the Baltic markets. Importers are only buying the minimum, aware of the market oversupply caused mainly by India's low demand.
- **Potash** m/m prices remained unchanged, with the settlement of contracts in China and India bringing stability.
- Agrium Inc. and PotashCorp have announced a merger of equals. The new entity will become the largest potash producer. The transaction is expected to be completed by mid-2017.
- The m/m price of **Natural gas** increased 10 percent due to growing demand for natural gas-based power and decreasing production in the US.
- Bayer AG announced plans to acquire GMO company Monsanto for 66 billion USD. Likewise, DuPont Co. and Dow Chemical Co. also plan to merge.

Region	August average	June std. dev.	% change previous month	% change previous year	12-month high	12-month low
Ammonia-US Gulf NOLA	224.0	6.9	-0.1	-0.4	565.0	224.0
Ammonia-Western Europe	230.0	-	-0.1	-0.5	667.5	230.0
Urea-US Gulf	185.3	1.5	-	-0.3	363.6	174.4
Urea-Black Sea	192.0	2.0	-	-0.3	320.0	183.0
DAP-US Gulf	325.0	-	-	-0.2	447.0	309.0
DAP-Baltic	345.0	-	-	-0.3	515.0	340.0
Potash-Baltic	198.0	-	-	-0.3	300.0	198.0
Potash-Vancouver	209.0	-	-	-0.3	305.0	209.0
Ammonia Average	213.5	1.7	-0.1	-0.5	617.8	213.5
Urea Average	195.5	0.8	-	-0.3	347.6	192.8
Natural Gas	2.9	0.1	0.1	0.1	4.1	1.7

Source: Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-annual price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2016 AMIS Market Monitor Release Dates

04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December